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CVC GUIDELINES ON PUBLIC PROCUREMENT

Guidelines & Instructions on E-Procurement

Comprehensive Study Notes for LDCE IP / PS Group 'B' Examinations

Fully Revised & Updated Edition — 2026

Aligned with GFR 2017 (as amended), DFPR 2024 & DoE Procurement Manuals (2nd Editions, 2024–2025)

DISCLAIMER

*This booklet has been prepared strictly from an **examination point of view**. While every effort has been made to ensure accuracy and to incorporate the latest changes, amendments, orders and manuals relevant to public procurement up to the date of this edition, this document is intended as a **study aid only**. Readers and students are strongly advised to refer to official Government sources, gazette notifications, the CVC website (cvc.gov.in) and the Department of Expenditure website (doe.gov.in) for the most authoritative and current information.*

IMPORTANT — HOW TO READ THESE NOTES (Post-2022 Position)

Since **11 July 2022**, the CVC has **withdrawn all 72 of its issue-specific procurement circulars** and handed over the function of issuing procurement guidelines exclusively to the **Department of Expenditure (DoE), Ministry of Finance**. The individual CVC circulars reproduced in Parts A to N below therefore **no longer operate as independent instructions** — they have been **assimilated into the DoE Procurement Manuals** and the **General Financial Rules (GFR) 2017**.

However, these historical circulars remain **highly important for the examination**, because they form the conceptual and historical foundation of procurement law and are still directly tested. Study them for **principles and concepts**; study Parts O–Q for the **current operative framework**.

Each section carries an **amber UPDATE box** wherever the present legal position differs from the original circular.

ABOUT THE CENTRAL VIGILANCE COMMISSION (CVC)

The Central Vigilance Commission is the **apex vigilance institution**, free of control from any executive authority, monitoring all vigilance activity under the Central Government and advising authorities in Central Government organisations in planning, executing, reviewing and reforming their vigilance work.

The CVC was set up in **1964** on the recommendation of the **Santhanam Committee** through a Government Resolution dated 11.02.1964. It was given statutory status by the **Central Vigilance Commission Act, 2003 (No. 45 of 2003)**, which received the assent of the President and came into effect on **11 September 2003**.

Historically, the CVC exercised powers under **Section 8(1)(h)** of the CVC Act to issue instructions on procurement, tendering and allied matters to Ministries/Departments, PSUs, Banks, Insurance Companies and Autonomous Organisations/Societies under its jurisdiction. **Following the 11.07.2022 reform, procurement guidelines are now issued by the Department of Expenditure**, while the CVC retains its core vigilance, preventive-vigilance and CTEO technical-examination functions.

● THE SINGLE MOST IMPORTANT UPDATE — READ FIRST

CVC Circular No. 14/07/22 (No. 022/VGL/032) dated 11.07.2022 withdrew **all earlier CVC guidelines on public procurement** (72 circulars). For the sake of **uniformity and to avoid multiplicity of authorities**, procurement guidelines are **henceforth issued by the Department of Expenditure only**, after taking into account the guidelines previously issued by the Commission.

All CVC procurement guidelines now stand **assimilated** into the three DoE Manuals and the GFR 2017. The **current authoritative editions** are: **Manual for Procurement of Goods — Second Edition, 2024**; **Manual for Procurement of Works — Second Edition, 2025**; and **Manual for Procurement of Consultancy & Other Services — Second Edition, 2025** (these supersede the June-2022 updated editions).

(Ref: CVC Circular No. 14/07/22 dated 11.07.2022; DoE Manuals, 2nd Editions, 2024–2025)

PART A : E-PROCUREMENT / REVERSE AUCTION / E-PAYMENT / E-RECEIPT / MOBILIZATION ADVANCE

Office Order No. 46/9/03 — E-Procurement / Reverse Auction

No. 98/ORD/1 | Dated 11 September 2003

The Commission received references from various departments seeking a uniform policy. It clarified that departments/organisations may themselves decide on **e-procurement / reverse auction** for purchases or sales and work out the detailed procedure, ensuring that the entire process is conducted in a **transparent and fair manner**.

Office Order No. 20/4/04 — e-Payments & e-Receipts

No. 98/ORD/1 | Dated 8 April 2004

To curb delays in payments (which raise procurement costs and create scope for corruption), the CVC directed greater use of **electronic payment mechanisms**, leveraging the **Electronic Clearing System (ECS)** and **Electronic Fund Transfer (EFT)**.

- All payments to suppliers/vendors, refunds and routine payments shall be made through **electronic payment mechanism** wherever banking facilities exist.
- Salary and other employee payments shall be made through ECS wherever available.
- Targets set: **50%** of payment transactions (by value and number) through ECS/EFT by **1 July 2004**; the remaining **50%** by **31 December 2004**.

Office Order No. 68/10/04 — Leveraging Technology (e-payment & e-receipt)

No. 98/ORD/1 | Dated 20 October 2004

A follow-up reiterating the 50% target and prescribing a **reporting format** (details of employee salary payments and contractor/supplier payments through e-payment), to be furnished to the Commission.

Office Order No. 11/03/05 — Delays in Payments to Contractors & Suppliers

No. 005/ORD/1 | Dated 10 March 2005

- CVOs to review bills of the last **six months** to assess time taken for clearance; suggested review cut-off **Rs. 1 lakh** (lower in smaller organisations).

- Review whether payments follow a '**first-come-first-served**' basis.
- Examine delays in releasing the **5% retained as performance guarantee** after it becomes due.

Category	Time Bracket	Details Required
Paid in time	Within 15 days	No. of bills & amount
Paid late	15–30 days	No. of bills & amount
Paid late	30–60 days	No. of bills & amount
Paid late	60–120 days	No. of bills & amount
Very late	Over 120 days	No. of bills & amount

Circular No. 29/9/09 — Implementation of e-Tendering Solutions & Security Guidelines

No. 009/VGL/002 | Dated 17 September 2009

Organisations were advised to follow a **fair, transparent and open** procedure to select the application service provider for their e-tendering solution, and to build in **effective security provisions**. Key security best-practices annexed to the circular:

Security at Infrastructure Level

- **Perimeter defence** (routers, firewalls, IPS/IDS, network segmentation); **authentication** via password policy; **monitoring** through OS/network logging.
- **Secure host configuration**; regular **system patching** with latest updates; **malware control** (anti-virus/anti-spyware); structured cabling.

Security at Application Level

- **Design**: credentials submitted only over **SSL**; proper access control; protected session tokens; safe error handling; server-side **input validation**; application logging.
- **Deployment**: clustering/load balancing for availability; **regular backup** and recovery; strict configuration/source-code control.
- **Data storage & communication**: sensitive data encrypted (e.g. 3DES, AES, RSA, RC4, Blowfish) using **128-bit keys (1024-bit for RSA) minimum**; SSL for payment-gateway communication; role-based access control at DB and application levels.

Other Good Practices

- **Common unified platform** for all departments; **demand aggregation** for economies of scale.
- **PKI implementation** with **Digital Signature Certificates (DSCs)** from a licensed Certifying Authority to ensure **non-repudiation**.
- **Third-party security audit** of the e-procurement solution **at least once a year**.

UPDATE — Current Position on e-Procurement Security

E-procurement security is now governed by the **DoE Procurement Manuals (2nd Editions)** read with **GFR 2017 Rule 160 (mandatory e-procurement)** and **Rule 159 (mandatory e-publishing on CPPP)**, and by the security/PKI standards of the **CPPP (eprocure.gov.in)** and **GeM (gem.gov.in)** platforms, which are CERT-In compliant and use DSC-based authentication. The 2009 best-practices remain conceptually valid but are no longer an independent CVC instruction.

Circular No. 10/4/07 — Mobilisation Advance (in Supersession of Earlier Guidelines)

No. 4CC-1-CTE-2 | Dated 10 April 2007

Issued in **supersession** of OM No. UU/POL/18 dated 08.12.1997 and OM No. 4CC-1-CTE-2 dated 08.06.2004. Key principles:

- Mobilisation advance should be **need-based**; decision to rest at **Board level (with Finance concurrence)**.
- Recovery should be **time-based, not linked to progress of work**, to prevent misuse.
- **Part Bank Guarantees** in as many numbers as recovery instalments, each equal to the instalment amount.
- Clear stipulation of **interest on delayed recoveries**; amount, interest and recovery schedule **stipulated upfront in the tender document**.
- BG format in the tender; **authenticity verified confidentially and independently** from the issuing bank.
- **Insurance and hypothecation** to the employer for machinery/equipment advance; **utilisation certificate** obtained, advance preferably in instalments.

UPDATE — Mobilisation Advance

These principles are now incorporated in the **DoE Manual for Procurement of Works (2nd Edition, 2025)** and reflected in **GFR 2017**. Mobilisation advance continues to be need-based, secured by bank guarantee, with time-based recovery — the substance of the 2007 circular survives within the Manuals.



PART B : NIT / TENDERING / NEGOTIATIONS / PURCHASE CONTRACTS / BANNING OF BUSINESS

No. 98/ORD/1 dated 15 March 1999 — Post-Tender Negotiations

Referring to the foundational ban under letter No. 8(1)(h)/98(1) dated 18.11.1998 on post-tender negotiations except with L-1 (lowest tenderer), the Commission clarified: the ban does not override the Government's **purchase preference policy** for PSUs; PSUs must not be used as a **conduit** for costly inputs; and where the quantity exceeds L-1's capacity, distribution must be **fair, transparent and equitable**.

No. 3(V)/99/9 dated 1 October 1999 — Applicability to World Bank / IMF / ADB Projects

For projects of the **World Bank and other international funding agencies (IMF, ADB, etc.)**, organisations must follow the criteria prescribed by those agencies, and the CVC's negotiation ban is **not specifically applicable** to such projects. For all domestic purchases/sales, the CVC instruction **remains binding**, including procurement from sources outside the country within budget provisions.

Office Order No. 10/2/04 dated 11 February 2004 — Use of Website (incl. Short-term Tenders)

Building on Order No. 98/ORD/1 dated 18.12.2003 (which made website use **mandatory** for all open tenders), this extended the requirement to **short-term tenders** by whatever name called, to maximise publicity and competition.

Office Order No. 43/7/04 dated 2 July 2004 — Website Use & Classified Documents

- Complete bid documents (with drawings) to be made downloadable from the web for open tenders.
- **Digital signatures through a Certifying Authority** can secure document integrity; documents to be **digitally signed** and submitted in **PDF or MS-Word** format.
- Instructions apply to **open-tender** procurement only — **not** to proprietary items procured through **OEMs/OESs**.

Office Order No. 68/10/05 dated 25 October 2005 — Negotiation with L-1

- Negotiation must **not** be misused as a bargaining tool with L-1.
- If **L-1 backs out**, there should be a **re-tender**.
- If L-1 alone cannot supply and there was no prior decision to split, the quantity should be distributed among other bidders **fairly, transparently and equitably**.
- Justification of negotiations to be **recorded and documented** without loss of time.
- Where essential operations/maintenance/safety are jeopardised, negotiation with L-1 is permitted only for a **bare-minimum quantity**; the balance procured via **re-tender**.

Circular No. 4/3/07 dated 3 March 2007 — Negotiations with L-1 (Reiteration)

Reiterated that post-tender negotiations are **banned except with L-1**; re-tender if L-1 backs out; and fair/transparent/equitable distribution where L-1 cannot supply the full quantity. (Further reiterated by **Circular No. 01/01/10 dated 20.01.2010**.)

Circular No. 01/01/08 dated 31 December 2007 — Acceptance of Bank Guarantees

- **Authenticity of every BG must be verified** from the issuing bank, **independently and confidentially**.
- Organisations must maintain a system for **regular verification** of all BGs held.
- No BG to be accepted until the organisation is satisfied of its authenticity.

Circular No. 15/5/06 dated 9 May 2006 — Contracts on Nomination Basis

- Award on **nomination basis must be an exception**, not the rule.
- Permitted only under **compelling circumstances with detailed written justification and Competent Authority approval**.
- All such nominations to be posted on the **website** and published in the bulletin/newsletter.

Posting of Award Details — Office Order 13/3/05 & Circular 17/7/09

Dated 16.03.2005 and 14.07.2009

- Details of **all contracts/tenders awarded** to be placed on the website: **contractor name, contract value, date of award**, nature of work/supply.
- A **quarterly bulletin/newsletter** shall also publish such details.

Circular No. 31/11/08 dated 6 November 2008 – Time-Bound Processing of Procurement

- Prescribe a **definite time schedule** for each procurement stage.
- Report deviations to **senior management** promptly with reasons.
- Unjustified delays treated as a **lapse** on the part of responsible officials.

UPDATE – Tendering, L-1, BGs & Award Disclosure (Current Position)

Negotiations: The DoE Manuals continue the policy that negotiation is generally to be **avoided**; if unavoidable, it is with **L-1 only**, and rate-reasonableness is to be established. The concept of **Reverse Auction** on e-platforms is now the preferred price-discovery tool in many cases.

Award disclosure: Now a **statutory requirement** under **GFR 2017 Rule 159** – mandatory e-publishing of tender enquiries, corrigenda **and details of bid awards** on the **CPPP (eprocure.gov.in)** for all Ministries/Departments and their bodies.

Bank Guarantees: Independent confirmation of BGs from issuing banks (preferably through the **Structured Financial Messaging System / SFMS**) is now standard practice embedded in the Manuals.

PART C : KEY PRINCIPLES OF PUBLIC PROCUREMENT

The Core Principles (Canons) of Public Procurement

Under **GFR 2017 (Rules 144 & 173)** and the DoE Manuals, every authority delegated with financial powers for procurement is responsible for observing the following **fundamental principles / canons of procurement**:

Principle	Meaning
Transparency	Procurement rules, criteria and process must be clear, public and applied uniformly.
Fairness & Equal Treatment	All eligible bidders treated equally; no bidder given information withheld from others.
Competition	Widest possible competition; specifications must not be tailored to favour a bidder.
Economy & Efficiency / Value for Money	Best value for public money — not merely lowest price, but life-cycle value.
Accountability & Integrity	Decisions recorded with reasons; officials accountable; no corrupt influence.

CORRECTION — "5 R's" vs the Statutory Canons

The "5 R's" (**Right Quality, Quantity, Price, Time/Place, Source**) is a useful **materials-management mnemonic** and may be quoted as such, but it is **not** the statutory framework of public procurement. The authoritative framework is the set of **canons/principles above**, drawn from **GFR 2017 Rules 144 & 173** and the DoE Manuals. Use the 5 R's only as a memory aid, not as the CVC/GFR principle list.

The Public Procurement Cycle

Stage	Key Activities
1. Need Assessment	Demand assessment, specifications, procurement planning & budgeting
2. Bid Invitation	Bid documents, publication on CPPP/GeM, receipt & opening of bids
3. Bid Evaluation	Preliminary & detailed evaluation; ranking; award of contract
4. Contract Execution	Contract management, performance security, payments, closure
5. Disposal	Disposal of surplus/scrap through prescribed modes (incl. e-auction)

PART D : PRE-QUALIFICATION CRITERIA (PQ)

Office Memorandum No. 12-02-1-CTE-6 dated 17 December 2002

CVC (CTE's Organisation)

Issued to curb **discriminatory PQ criteria** — either too stringent or too lax. PQ criteria is the yardstick to allow/disallow firms; vague criteria stall finalisation or enable non-transparent awards. Common irregularities flagged:

- Turnover criteria pitched so high that a **single firm** qualified (e.g. Rs. 15 cr turnover demanded for a Rs. 7.5 cr/yr workload).
- Excessive financial turnover demand disqualifying reputed firms (e.g. Rs. 100 cr turnover for a sub-Rs. 10 cr purchase).
- Conditions like **profit in last two years + ISO certification** disqualifying reputed vendors, including a PSU.
- **Diluted PQ on re-tender** without justification to favour a firm; vague '**similar works**' definition; unclear cut-off dates for experience.

Prescribed PQ Norms — Civil/Electrical Works

PQ Parameter	Prescribed Norm
Average Annual Turnover	Last 3 years (ending 31 March of previous FY) $\geq$ 30% of estimated cost
Experience — Option (a)	Three similar completed works, each $\geq$ 40% of estimated cost
Experience — Option (b)	Two similar completed works, each $\geq$ 50% of estimated cost
Experience — Option (c)	One similar completed work $\geq$ 80% of estimated cost
Experience period	Within last 7 years (ending month before applications invited)
Similar work	Must be clearly defined in the tender document

Prescribed PQ Norms — Stores / Purchase Contracts

- Experience & past performance on similar contracts for the **last 2 years**.
- Capability in personnel, equipment and manufacturing facilities.
- Financial standing via latest **ITCC** and **3 years'** balance sheet & P&L.
- **No bidder denied for reasons unrelated to capability** to perform the contract.

🔔 UPDATE – PQ Criteria (incl. 2004 Clarification)

OM No. 12-02-1-CTE-6 dated 07.05.2004 clarified that these PQ norms are **illustrative**; organisations may modify them for specialised jobs, provided criteria remain **exhaustive yet specific**, unambiguous, and ensure fair competition.

Current position: PQ/eligibility is now governed by the **DoE Manuals (2nd Editions)** and the **Model Tender Documents (MTDs)** issued by DoE. The Manuals also mandate **MSE and Start-up relaxations** (turnover/experience/EMD exemptions) under the **Public Procurement Policy for MSEs** and the **Make-in-India / Public Procurement (Preference to Local Content) Order 2017 (as amended)** – concepts absent from the 2002 OM but now central to PQ design.



PART E : NIT & PREPARATION OF TENDER DOCUMENTS

Office Order No. 33/7/03 dated 9 July 2003 — Shortcomings in Bid Documents

- Avoid **vague/ambiguous specifications**; disclose a clear **bid-evaluation methodology**; provide complete information and **complete drawings/designs**.
- Adopt the **two-bid system** (technical bid + price bid); open price bids **only of technically qualified** bidders.

Office Order No. 15/3/05 dated 24 March 2005 — Notice Inviting Tenders

- NIT must be **self-contained**, disclosing qualifying criteria, evaluation methodology and award criteria.
- No ambiguity in terms; specify **bid-validity period**, **EMD amount/mode**, and modalities for the two-bid system.

Office Order No. 72/12/04 dated 10 December 2004 — Transparency Guidelines

- All tender documents (specs, drawings, eligibility, evaluation methodology) on the **website; no restriction on downloading**.
- **Equal treatment** of bidders; **corrigenda/addenda** published promptly with adequate response time.

Office Order No. 75/12/04 dated 24 December 2004 — Participation of Consultants

- A consultant who **prepared the bid documents** (and its associates/subsidiaries) **shall not participate** in that tender.
- A consultant engaged for **supervision/monitoring** must have no business/financial relationship with the main contractor.
- The restriction must be **explicit in the consultant's appointment agreement**; over-dependence on consultants must be curbed.

UPDATE — NIT & Bid Documents

Tender documents now follow the **DoE Model Tender Documents (MTDs)** for Goods, Non-consultancy and Consultancy Services, and the two-bid system, EMD/Bid Security, and online publication are mandated under **GFR 2017** and operationalised

through **CPPP/GeM**. Note: GFR now encourages **Bid Security Declaration** in lieu of EMD in many cases, and caps **Performance Security** (Rule 171, amended via DoE OMs dated 29.12.2023 / 01.01.2024).



PART F : RECEIPT AND OPENING OF TENDERS

Office Memorandum No. 05-04-1-CTE-8 dated 8 June 2004

- Tenders received in **sealed, numbered covers** at a designated place via a **tender box**/secure mechanism.
- Tenders opened **on the notified date/time** in the presence of attending tenderers; names & quoted prices read out.
- **Two-bid system**: open technical bids first; open price bids **only of technically qualified** bidders; return price bids of disqualified bidders **unopened**.
- Tender Opening Committee members **sign the first page**; corrections/overwriting **initialled and dated**.
- Prepare a **comparative statement** immediately; **no tender accepted after due date/time**.
- For **e-procurement**, the **electronic record** of opening is the official record; bids inaccessible before scheduled opening.

UPDATE — Receipt & Opening

With **mandatory e-procurement (GFR Rule 160)**, physical tender boxes are now the exception. On CPPP/GeM, bids are **encrypted**, time-stamped and **auto-decrypted only at the scheduled opening time**, with the system log serving as the official record — fully realising the 2004 principles in electronic form.

PART G : BACK-TO-BACK TIE-UP BY PSUs / AWARD ON NOMINATION

No. 06-03-02-CTE-34 dated 20 October 2003

- A PSU given a contract **shall not sub-contract the entire work** on back-to-back basis to a private party **without the principal organisation's knowledge and approval**.
- Where part sub-contracting is needed, obtain **prior approval**, follow **transparent tendering**, and verify the sub-contractor's credentials.
- Using a PSU as a mere **conduit** to exploit purchase-preference is **not acceptable** and viewed seriously.

PART H : CONSIDERATION OF INDIAN AGENTS

No. 12-02-6-CTE/SPI(I)-2 dated 7 January 2003

(Reiterated vide Office Order No. 25/04/04 dated 21 April 2004)

- **Only one agent** per foreign firm in a particular tender; agent registration with appropriate authority where prescribed.
- Foreign firm to give a **specific authorisation letter** to the agent for that tender.
- If a foreign firm bids **both directly and through an agent, both bids are rejected**.
- **Agency commission** must be disclosed in the bid (a NIT condition) and **factored into price-bid evaluation**.
- **Payment to the Indian agent only in Indian Rupees**.

UPDATE — Indian Agents / DGS&D

References to **DGS&D registration** are obsolete: **DGS&D was abolished (w.e.f. 31.10.2017)** and its functions migrated to **GeM**. Agent/agency-commission disclosure norms now sit within the **DoE Manuals** and **GFR**, and registration/empanelment is largely through **GeM** and Ministry-specific systems.

PART I : BANNING OF BUSINESS WITH FIRMS / CONTRACTORS

Office Order No. 18/3/05 dated 24 March 2005

No. 000/VGL/161

- Every organisation should have a **comprehensive policy** on banning/suspension of business dealings.
- Policy to specify **grounds, competent authority, a hearing/natural-justice process, duration**, review/revocation, and **debarment-listing criteria**.
- Grounds include **forged/false documents, non-performance** leading to termination, **bribery/corrupt practices**, and security/reliability concerns.
- Maintain a **register of banned firms**, place details on the **website**, and allow other organisations under the same Ministry to consider similar action after due process.

UPDATE — Banning / Debarment (Current Position)

Debarment is now governed primarily by **Rule 151 of GFR 2017** and the detailed **debarment/suspension chapter of the DoE Manual for Procurement of Goods (2nd Edition, 2024)**, which prescribes grounds, the show-cause/hearing procedure, and durations. A **central/uniform debarment regime** and listing on **CPPP/GeM** now applies. The 2005 CVC circular's principles are fully assimilated.

Office Order No. 71/12/05 dated 9 December 2005 — Undertaking by Tender Committee

Members of the **Tender Evaluation Committee** and associated officials must give an undertaking before evaluation begins that they have **no personal interest** or disqualifying **financial/business dealings** with any tenderer, will **evaluate objectively** per NIT criteria, and will **immediately disclose any conflict of interest**. The undertaking forms part of the tender file.

PART J : APPOINTMENT OF CONSULTANTS

The Commission's instructions on consultants evolved through several circulars: **No. 3L PRC1 dated 12.11.1982**, reiterated by **No. OFF1-CTE-1 dated 25.11.2002**, then **No. 98/DSP/3 dated 24.12.2004** (Office Order 75/12/04), and finally **Circular No. 08/06/11 (No. 011/VGL/063) dated 24 June 2011** on **Conflict of Interest and Professional Liability** of consultants, which **superseded** the 2004 instruction.

Core Principles

- Appoint consultants in a **transparent and competitive** manner for **need-based, specialised** jobs only.
- Assign **specific, well-defined responsibilities**; avoid overlapping mandates and **over-dependence**.
- Agreement to contain **penal clauses, professional-liability** provisions and a **fee ceiling**; fee linked to work performance.
- A consultant who prepared bid documents (or its affiliates) must **avoid conflicting assignments** on the same project.

UPDATE — Consultants

CVC Circular dated 23.01.2017 (**Systemic Improvement Guidelines — Engagement of Consultants**) further tightened consultant-engagement safeguards. The **current operative framework** is the **DoE Manual for Procurement of Consultancy & Other Services (2nd Edition, 2025)**, which prescribes selection methods (QCBS, LCS, SSS, etc.), conflict-of-interest rules and professional-liability clauses in detail.

PART K : CTE's ORGANISATION — INTENSIVE EXAMINATION

The **Chief Technical Examiners' (CTE's) Organisation** is the specialised technical wing of the CVC that conducts **independent technical examination** of public-procurement contracts (works, purchases, services) of Government organisations, PSUs, Banks, etc. **Note:** the CTEO's technical-examination role was **not withdrawn** by the 11.07.2022 reform — only the procurement-guideline-issuing function moved to DoE.

Selection of Cases for Intensive Examination

- Based on **nature & value of contract, complaints received, and intelligence inputs**, with focus on **large-value, unusually varied or suspect** contracts.
- Monetary limits for **Quarterly Progress Report (QPR)** reporting are prescribed from time to time.

Stages Examined

Stage	Key Aspects Examined
Scope & Time Perspective	Clarity of scope; realism of time-frame
A/A & E/S	Proper sanctions by competent authority before initiation
DPR / Detailed Estimate	Realistic estimate based on appropriate rates
Design & Drawings	Complete, approved documents before inviting tenders
Tender Documents	Complete, clear, unambiguous
PQ / Eligibility	Appropriate, non-discriminatory criteria
NIT	Adequate publicity; minimum bid period observed
Evaluation & Award	Strictly as per NIT criteria
Contract Agreement	All terms clearly specified
Payments	As per contract; advances proper
Release of Guarantees	As per terms, after due verification
Completion Report	Prepared and on record

Common Irregularities Identified by CTEO

- **Splitting** of work/purchase to avoid higher approval or tendering; award to a **higher bidder** overlooking valid L-1.
- **Post-tender negotiations** beyond L-1; **manipulation of evaluation criteria** after bid opening.

- **Post-facto estimates** to justify expenditure; **repeated time extensions** without liquidated damages.
- **Advances without adequate BG; over-measurement**; acceptance of **sub-standard quality**; **nomination** without justification.

UPDATE – Intensive Examination SOP

The CVC issued a **Revised Standard Operating Procedure (SOP) for Intensive Examination by CTEO vide Circular dated 06.05.2021**, revising time-limits and follow-up procedures on IE reports. This SOP **continues to govern CTEO examinations** and is unaffected by the procurement-guideline transfer to DoE.



PART L : MODES OF TENDERING

Open Tender (Advertised Tender Enquiry — ATE)

- The **most preferred and transparent** mode; widest publicity via **CPPP (eprocure.gov.in)**, GeM and the organisation's website.
- Under **GFR 2017 Rule 161** (as amended by DoE OM dated 10.07.2024), used for goods of estimated value **Rs. 50 lakh and above** (mandatory advertisement on GeM + GeM-CPPP + own website).

Limited Tender Enquiry (LTE)

- Adopted where the **value is small** or **sources are limited**. Under **GFR 2017 Rule 162** (as amended 10.07.2024), LTE may be used for goods of estimated value **up to Rs. 50 lakh** (earlier Rs. 25 lakh); LTE enquiries are also published on CPPP and the Ministry/Department website.
- More than **three** suppliers should be approached; reasons for limited tender recorded.

Single Tender Enquiry (STE) / Nomination

- Only in **exceptional circumstances** — **proprietary item from a single source, emergency, or standardisation/compatibility** needs.
- **Detailed justification on record** and **Competent Authority approval**; nominations posted on the website.

Purchase without Quotation / Purchase Committee

- **GFR Rule 154:** purchase of goods **up to Rs. 50,000** (earlier Rs. 25,000) on each occasion without quotation, on a certificate of quality & reasonable price by the competent authority.
- **GFR Rule 155:** purchase of goods **above Rs. 50,000 and up to Rs. 5,00,000** (earlier Rs. 25,000–2,50,000) on each occasion, on the recommendation of a **Local Purchase Committee** of three members, where the item is not available on GeM.

● **CURRENT GFR / GeM THRESHOLDS (as amended by DoE OM dated 10.07.2024)**

The thresholds were **enhanced w.e.f. 10.07.2024** (DoE OM No. F.1/3/2024-PPD, amending GFR Rules 133, 149, 154, 155, 161, 162, 171, 173, etc.). The **current limits** are: **GeM (GFR Rule 149)** — procurement of goods/services available on GeM is **mandatory**. Direct online purchase: **up to Rs. 50,000** from any available supplier; **above Rs. 50,000 up to Rs. 10,00,000** from the lowest-priced (L-1) seller of at least three different OEMs (Automobiles: Rs. 30 lakh limit continues); **above Rs. 10,00,000** through GeM bidding / reverse auction.

Without quotation (Rule 154): up to Rs. 50,000. **Purchase Committee (Rule 155):** above Rs. 50,000 up to Rs. 5,00,000. **Advertised Tender (Rule 161):** Rs. 50 lakh and above. **Limited Tender (Rule 162):** up to Rs. 50 lakh.

E-publishing (Rule 159) and **e-procurement (Rule 160)** remain **mandatory** for all Ministries/Departments and their bodies. **Direct repair works (Rule 133):** up to Rs. 60 lakh (earlier Rs. 30 lakh).



PART M : E-PROCUREMENT — DETAILED FRAMEWORK

e-Procurement is the use of information and communication technology (especially the internet) across the procurement process — from need identification to payment and contract management — to make procurement **transparent, efficient and effective**.

Key Mandates

- **Mandatory e-publishing & e-procurement:** All tender enquiries, corrigenda and bid-award details to be published on the **CPPP (<https://eprocure.gov.in>)**; bids received online (**GFR Rules 159 & 160**).
- **GeM:** Goods/services available on **GeM (gem.gov.in)** must be procured through GeM (**GFR Rule 149**).
- **Digital Signature Certificates (DSCs):** All bidders and departmental officials use DSCs from licensed Certifying Authorities for bid submission and opening.
- **End-to-end e-procurement:** MoF (DoE) OM No. **10/3/2012-PPC dated 9 January 2014** required comprehensive end-to-end e-procurement across Ministries/Departments and CPSEs.

e-Sale

Use of electronic means for **auction/sale** of goods (disposal of scrap, surplus stores). The same principles of **transparency, fairness and wide publicity** apply as for e-procurement; **MSTC / GeM** platforms are commonly used.

Reverse Auction

- An auction where buyer/seller roles are reversed and the price **decreases** through competitive bidding.
- Used **after technical qualification** as a price-discovery tool; participation criteria made known in advance.
- Origin: **Office Order No. 46/9/03 dated 11.09.2003** — process to be **transparent and fair**.

Swiss Challenge Method

- A '**challenger**' submits an unsolicited proposal; Government invites competing proposals.
- The **original proponent has a right of first refusal** (right to match the best competing bid).
- To be **restricted to cases authorised by law/Government policy**, not a substitute for competitive tendering.

PART N : INTEGRITY PACT (IP)

The **Integrity Pact** is a vigilance tool — an agreement between the procuring entity and bidders that **neither side will resort to corrupt practices** at any stage of the contract. It is implemented through a panel of **Independent External Monitors (IEMs)** drawn from a CVC-maintained panel.

Key Features

- Origin: **Office Order No. 43/12/07 dated 28.12.2007** (Adoption of IP in major Government procurement).
- Each organisation fixes a **threshold value** above which IP applies (commonly **Rs. 1 crore and above**; many organisations adopt higher thresholds by Board decision).
- At least one **IEM** is cited in the NIT; IEMs review compliance independently and may report serious irregularities directly to the CVC.
- **IEM tenure** restricted to a maximum term in an organisation; **fee** as per CVC SOP.

UPDATE — Integrity Pact SOP (Current Position)

The IP SOP has been revised several times: the **2017 SOP** was followed by the **Revised SOP vide Circular No. 06/05/2021 dated 03.06.2021**, and further by the **SOP issued vide OM No. 04/06/23 (Letter No. 015/VGL/091) dated 14.06.2023** with subsequent clarifications. The CVC also issued a **Corrigendum/revision in April 2025**. Aspirants should cite the **latest applicable SOP** and note that **IEM eligibility, tenure and fee** are governed by these SOPs, not the original 2007 order.

IEM eligibility (current): retired officials of the level of **Secretary to the Government of India (or equivalent)**, of high integrity, below 70 years; appointed from the CVC panel.

PART O : THE CURRENT OPERATIVE FRAMEWORK (POST-2022)

This is the **most examinable 'latest position' section**. After the 11.07.2022 reform, public procurement is governed by the following hierarchy of authorities:

Authority	Role / Coverage
GFR 2017 (as amended)	The overarching financial rules; Chapter 6 (Rules 142–229) governs procurement of goods, services & works.
DFPR 2024	Delegation of Financial Powers Rules, 2024 — revised financial-power delegations (replacing DFPR 1978).
DoE Manual — Goods (2nd Ed., 2024)	The comprehensive reference manual for procurement of goods.
DoE Manual — Works (2nd Ed., 2025)	Procurement of works (small works up to Rs. 60 lakh; larger via PWOs/Public-Works CPSEs).
DoE Manual — Consultancy & Other Services (2nd Ed., 2025)	Procurement of consultancy & non-consultancy services.
Model Tender Documents (MTDs)	Standardised tender documents issued by DoE for Goods, Non-consultancy & Consultancy.
GeM & CPPP	Mandatory e-marketplace (GeM) and e-publishing/e-procurement portal (CPPP).
CVC (residual role)	Preventive vigilance, CTEO technical examination, Integrity Pact SOP, fraud-detection frameworks.

What's New in the 2nd-Edition Manuals (2024–2025)

- Incorporate the **amended GFR 2017**, the new **DFPR 2024**, and the **Mediation Act, 2023** (dispute resolution).
- Reflect the **MAPS-II assessment report (2020)**, FTA dialogues, and post-COVID procurement responses.
- Strengthen **Make-in-India / local-content preference**, **MSE** and **Start-up** facilitation, and **sustainability/green procurement**.
- Goods Manual (2nd Ed., 2024) is written as the **comprehensive reference**; the Works and Consultancy Manuals cross-refer to it for common fundamentals.

Other Recent CVC / DoE Instruments (2024–2025)

- **DoE OM No. F.1/3/2024-PPD dated 10.07.2024** — major **enhancement of procurement financial limits**, amending GFR Rules **133, 149, 154, 155, 161, 162, 173, 183, 201 & 218** (see the threshold box in Part L).
- **CVC Framework dated 01.04.2025** — timely detection & reporting of **large-value frauds** (relevant to procurement fraud).
- **DPE O.M. dated 29.07.2024** — Consolidated & Revised **Vigilance Policy Guidelines for CPSEs**.
- **GFR Rule 171 (Performance Security)** amended via DoE OMs dated **29.12.2023 & 01.01.2024**.

● **CRITICAL EXAM POINT — Which Edition Is 'Current'?**

Do **not** answer that the **June-2022 Manuals** are current — that was the position only between July 2022 and 2024. The **current editions** are:

- **Goods — Second Edition, 2024** (compliance updated to June 2024).
- **Works — Second Edition, 2025** (small works up to Rs. 60 lakh).
- **Consultancy & Other Services — Second Edition, 2025** (compliance updated to April 2025).

All three are read with **GFR 2017 (as amended)** and **DFPR 2024**.

PART P : MASTER REFERENCE TABLE — CVC / DoE PROCUREMENT INSTRUMENTS

Note: All CVC circulars below (Sl. 1–48) were **withdrawn w.e.f. 11.07.2022** and assimilated into the DoE Manuals/GFR; they remain **examinable for concepts**. Sl. 49 onward reflect the **current operative instruments**.

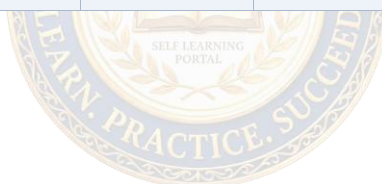
Sl.	Order / Circular No.	Date	Subject
1	8(1)(h)/98(1)	18.11.1998	Ban on post-tender negotiations except with L-1
2	98/ORD/1	15.03.1999	Tenders — post-tender negotiation clarification
3	3(V)/99/9	01.10.1999	Applicability to World Bank / IMF / ADB projects
4	12-02-1-CTE-6	17.12.2002	Pre-Qualification Criteria (PQ)
5	12-02-6-CTE/SPI(I)-2	07.01.2003	Consideration of Indian Agents
6	98/ORD/1	18.12.2003	Use of website mandatory (open tenders)
7	06-03-02-CTE-34	20.10.2003	Back-to-Back Tie-up by PSUs
8	46/9/03	11.09.2003	E-Procurement / Reverse Auction
9	33/7/03	09.07.2003	Shortcomings in Bid Documents
10	10/2/04	11.02.2004	Website mandatory for short-term tenders
11	20/4/04	08.04.2004	e-Payments & e-Receipts
12	25/04/04	21.04.2004	Indian Agents — reiteration
13	12-02-1-CTE-6	07.05.2004	PQ Criteria — clarification (illustrative)
14	05-04-1-CTE-8	08.06.2004	Receipt & Opening of Tenders
15	43/7/04	02.07.2004	Website use + classified documents
16	68/10/04	20.10.2004	Leveraging Technology — e-payment/e-receipt
17	72/12/04	10.12.2004	Transparency in Tendering — guidelines
18	75/12/04	24.12.2004	Participation of Consultants in tender
19	11/03/05	10.03.2005	Delays in Payments to Contractors/Suppliers
20	13/3/05	16.03.2005	Posting award details on website

Sl.	Order / Circular No.	Date	Subject
21	15/3/05	24.03.2005	Notice Inviting Tenders (NIT)
22	18/3/05	24.03.2005	Banning of Business Dealing with Firms
23	68/10/05	25.10.2005	Negotiation with L-1
24	71/12/05	09.12.2005	Undertaking by Tender Committee members
25	21/05/06	01.05.2006	Examination of procurement contracts by CVO
26	15/5/06	09.05.2006	Contracts on Nomination Basis
27	4/3/07	03.03.2007	Negotiations with L-1 (reiteration)
28	10/4/07	10.04.2007	Mobilisation Advance (supersession)
29	43/12/07	28.12.2007	Adoption of Integrity Pact
30	01/01/08	31.12.2007	Acceptance of Bank Guarantees
31	31/11/08	06.11.2008	Time-Bound Processing of Procurement
32	17/7/09	14.07.2009	Posting award details on websites
33	29/9/09	17.09.2009	e-Tendering solutions + Security Guidelines
34	01/01/10	20.01.2010	Negotiations with L-1 (reiteration)
35	08/06/11	24.06.2011	Conflict of Interest / Professional Liability — Consultants
36	23/01/2017	23.01.2017	Systemic Improvement — Engagement of Consultants
37	06/05/2021	06.05.2021	Revised SOP — Intensive Examination by CTEO
38	06/05/2021	03.06.2021	Revised SOP — Adoption of Integrity Pact

Current Operative Instruments (Post-Withdrawal)

Sl.	Instrument	Date	Subject
39	CVC Circular 14/07/22 (022/VGL/032)	11.07.2022	Withdrawal of all 72 CVC procurement circulars; DoE to issue guidelines
40	DoE Manual — Goods	2024	Manual for Procurement of Goods, Second Edition

Sl.	Instrument	Date	Subject
41	DoE Manual — Works	2025	Manual for Procurement of Works, Second Edition
42	DoE Manual — Consultancy/Services	2025	Manual for Procurement of Consultancy & Other Services, 2nd Ed.
43	DFPR 2024	2024	Delegation of Financial Powers Rules, 2024
44	DoE OM F.1/3/2024-PPD	10.07.2024	Enhancement of procurement financial limits (GFR Rules 133,149,154,155,161,162 etc.)
45	CVC OM 04/06/23 (015/VGL/091)	14.06.2023	SOP — Adoption of Integrity Pact (revised)
46	DPE O.M.	29.07.2024	Consolidated & Revised Vigilance Policy for CPSEs
47	CVC Framework	01.04.2025	Timely detection & reporting of large-value frauds
48	CVC Corrigendum	Apr 2025	Integrity Pact — Revised SOP (latest revision)



PART Q : QUICK REVISION CAPSULE – KEY NUMBERS & DATA POINTS

Parameter	Prescribed Value / Period	Reference
CVC Act	No. 45 of 2003; effective 11.09.2003	CVC Act, 2003
CVC set up (non-statutory)	1964 (Santhanam Committee)	Govt. Resolution 11.02.1964
Foundational negotiation ban	L-1 only, w.e.f. 18.11.1998	8(1)(h)/98(1)
e-payment target Phase 1	50% by 01.07.2004	OO 20/4/04
e-payment target Phase 2	Remaining 50% by 31.12.2004	OO 20/4/04
Bill-payment review cut-off	Bills above Rs. 1 lakh	OO 11/03/05
Performance guarantee (retention)	5% of bill amount	OO 11/03/05
PQ – works experience period	Last 7 years	OM 12-02-1-CTE-6
PQ – works turnover	≥ 30% of estimated cost (avg. of 3 yrs)	OM 12-02-1-CTE-6
PQ – stores experience / financials	2 years experience; 3 years P&L	OM 12-02-1-CTE-6
Encryption minimum	128-bit (1024-bit for RSA)	Circular 29/9/09
Third-party e-proc audit	At least once a year	Circular 29/9/09
GeM direct purchase	≤ Rs. 50,000 any seller; Rs. 50k–10L lowest of 3 OEMs; >10L bidding	GFR Rule 149
Purchase without quotation	Up to Rs. 50,000	GFR Rule 154
Local Purchase Committee	Above Rs. 50,000 – Rs. 5,00,000	GFR Rule 155
Advertised Tender (ATE)	Rs. 50 lakh and above	GFR Rule 161
Limited Tender (LTE)	Up to Rs. 50 lakh	GFR Rule 162
Direct repair works	Up to Rs. 60 lakh	GFR Rule 133
E-publishing / e-procurement	Mandatory (all Ministries/Depts)	GFR Rules 159 & 160
Integrity Pact threshold (typical)	Rs. 1 crore and above (org-fixed)	IP SOP

Parameter	Prescribed Value / Period	Reference
Small works (Works Manual)	Up to Rs. 60 lakh (in-house guidance)	Works Manual 2nd Ed. 2025
Current Goods Manual	Second Edition, 2024	DoE
Current Works / Consultancy Manuals	Second Edition, 2025	DoE
CVC Vigilance Manual	2021 edition (verify latest before exam)	CVC



PART R : ILLUSTRATIVE CHECK-POINTS FOR PROCUREMENT STAGES

Source: CVC — Chief Technical Examiner's Organisation compendium of illustrative check-points (for fairness, equity and transparency). These check-lists are illustrative; specific cases may need additional focus.

1. Works/Purchase Manual

A codified Procurement Manual ensures a **systematic, uniform approach** with delegation of power and **commensurate accountability**.

- Is a procurement manual in place and **regularly updated**? When last updated?
- Is it consistent with **GFR, DoE Manuals and the canons of procurement**, and uploaded on intranet/internet?
- Are officials **conversant** with the manual; does it cover the **entire gamut** of activities?

2. Scope of Work

- Is the **scope clearly defined** and the procurement **objective** brought out before seeking approval?

3. Administrative Approval & Expenditure Sanction (A/A & E/S)

- Feasibility study done? Mandatory clearances (**environmental, land use**) considered? Estimate proper?
- Sanction by the **Competent Authority** as per **delegation of power (DFPR 2024)**? Budget provision made?
- Does scope match the A/A & E/S? Any **excess expenditure**, and if so, was fresh **Competent-Authority approval** taken?

4. Consultancy

- Guidelines in place and updated? Do they cover **professional liability, fee ceiling, performance-linked payment and penal clauses**?
- Qualifying requirement commensurate, **unambiguous and frozen before** inviting offers? Adequate **web publicity**?

- Evaluation strictly per notified criteria; tax/TA aspects considered; contract conditions complied with during performance?

5. DPR / Detailed Estimate

- **Site investigation** done; proper specifications; all items captured; consistency among **schedule of items, drawings & specifications**?
- Rates from **genuine market quotations / standard schedule of rates**; proper **analysis of rate**; design **proof-checked**?

6. Design & Drawings

- Design suited to site conditions and **proof-checked**; 'good-for-construction' drawings complete and unambiguous?

7. Tender Document

- Complete document (GCC/SCC, specs, BoQ, addenda) approved by Competent Authority; **standard/approved** document used?
- All Government/DoE/organisation guidelines incorporated; provision for **unbalanced/front-loaded** bids (additional security)?
- **Bank Guarantees from scheduled/Nationalised banks**; verify authenticity from the issuing bank before acceptance.

8. Pre-Qualification

- PQ guidelines in the manual; criteria **objective, commensurate, frozen before** inviting bids, approved by Competent Authority?
- No **deliberate tailoring** to suit a particular bidder; credentials **matched and verified**?

9. Inviting & Opening of Tenders

Open tendering ensures **transparency, economy/efficiency, healthy competition and fair/equal treatment** — also required by **Article 14 of the Constitution**. The three principal modes:

Mode	When Used
Open Tender (ATE)	Default — widest publicity — most preferred

Mode	When Used
Limited Tender (LTE)	Small value or limited sources
Single Tender / Nomination	Exceptional — emergencies, proprietary items, no response to repeated tenders

FINAL NOTE FOR ASPIRANTS

Master the **historical circulars (Parts A–N)** for **concepts and principles**, but always anchor your 'current position' answers in the **post-2022 framework (Parts O–Q): GFR 2017 (as amended), DFPR 2024, and the DoE Manuals (Goods 2024; Works & Consultancy 2025)**, operationalised through **GeM and CPPP**, with the CVC retaining its preventive-vigilance, **CTEO** and **Integrity Pact** roles.

— End of Study Notes —

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